



UNFAIR CUT

A legal battle between an agent and an arms supplier and a PIL that blew the lid on it show how agents continue to tarnish defence deals, even though the Government denies it

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■ **By Sandeep Unnithan**

It's one of the most bizarre court cases currently being heard in the Supreme Court. It is about an agent going on record about trade commissions being paid in a deal to procure helicopters for the Home Ministry. The agent has even produced documents of the agreement showing how the deal was allegedly inflated by 16 per cent to factor in the commission. It is an indication of how arms agents still function despite repeated government bans, and how kickbacks influence defence deals. What makes this case unique is that most of the facts concerning the deal are meticulously detailed in faxes, signed agreements and affidavits by the various parties in a voluminous bunch of court papers.

The murky details of this arms deal between the Home Ministry and a Russian arms firm came out in the open when a Supreme Court lawyer, Dipak Kumar Jena, filed a Public Interest Litigation (PIL) in January last year alleging that commissions are being paid in defence transactions despite the Government's claims that no such payments are allowed. In response to the PIL, the Supreme Court issued notices to the Ministry of Defence, Ministry of Home Affairs (MHA) and the CBI on May 17 this year.

COMMISSION TRAIL

■ MARCH 2000

MoU signed between Home Ministry and Russian arms trading firm Rosoboronexport

■ APRIL 14, 2000

Rosoboronexport signs an agreement to pay 16 per cent commission to the Austrians

■ DEC 3, 2002

Austrian Trade Commission reportedly requests Russians to pay up the commission

■ DEC 4, 2002

Russian helicopter maker Kazan confirms \$6.5-m commission to be paid to Rite Approach

■ DEC 17, 2002

Government inks deal with Rosoboronexport for buying 16 Mi-17 helicopters

■ DEC 23, 2002

Rosoboronexport refuses to pay commission to Austrians as per the contract

■ DEC 11, 2003

Four choppers for the BSF arrive, but are not received because of the court order

■ May 25, 2004

Delhi High Court vacates earlier orders, dismisses petition

■ Jan 13, 2006

Lawyer Jena files a PIL in the Supreme Court

■ May 11, 2007

The Supreme Court issues notices to all petitioners in the case

It all goes back to 1999, when the MHA floated a proposal for acquiring a fleet of four choppers to give the paramilitary forces wings, especially the Border Security Force (BSF). Subsequently enhanced to six helicopters, the MHA zeroed in on the Russian Mi-17—the kind currently in use by the IAF. The IAF operates nearly 200 Mi-8 and Mi-17s and is planning to order 80 more Mi-17s. This chopper was identified as the ideal vehicle for rapid deployment of troops and materials for internal security duties, casualty evacuation and for providing quick response to disasters.

In 2000, the MHA ordered six such medium-lift choppers from Russian manufacturer Kazan—the largest helicopter supplier to the Indian Army—via Russia's state arms trading firm Russian Technologies, which later became Rosoboronexport. On December 17, 2002, a contract worth Rs 180 crore was signed with the Russian firm for the supply of six choppers to the BSF. The delivery of the machines began in 2003.

On December 3, 2002, the Austrian Trade Commission reminded Igor Mizin, Rosoboronexport's India head (now its Moscow-based chief of logistics) to pay up the 16 per cent commission amounting to \$ 6.5 million (Rs 29 crore) due to it. The Commission was